

25STCV36105 25STCV36105

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Case Number: 25STCV36105 Hearing Date: August 3, 2026 Dept: 413

TENTATIVE RULING

HEARING DATE: 08/03/2026

CASE NUMBER: 25STCV36105

CASE NAME: TOMER FRIDMAN, et al. vs PFN LENDING GROUP, INC., A ..

MOVING PARTY: Defendants PFN LENDING GROUP,
INC. and Mark Shenkman

OPPOSING PARTY: Plaintiffs Tomer Fridman and Isidora
Fridman

PROCEEDING: Demurrer

MOVING PAPERS: 05/04/2026

OPPOSITION: 07/17/2026

REPLY: 07/23/2026

RULING SUMMARY: Defendants PFN Lending Group, Inc. and Mark
Shenkman's Demurrer is sustained without leave to amend.

Background

On December 10, 2025, Plaintiffs Tomer

Fridman ("Tomer")^[1]

and Isidora Fridman ("Isidora" and collectively "Plaintiffs") filed their Complaint against Defendants PFN Lending Group, Inc. ("PFN"), Marc Shenkman ("Shenkman"), TD Processing Service, Inc. ("TD"), and Olie Hamm ("Hamm"), alleging four causes of action for: (1) Wrongful Foreclosure, (2) Intentional Interference with Contract, (3) Negligence Per Se, and (4) Negligence.

Plaintiffs

allege the following: Tomer was the owner of the real property located at 3915 Prado del Maiz, Calabasas, California 91302-3633 (the "Property"), from August 31, 2005 and remains a resident at the Property with his mother Isidora. On or about February 09, 2022, Tomer had prepared and delivered, but did not record, a quitclaim deed to Isadora to deliver Tomer's interest in the Property to Isadora for his benefit; on or about November 29, 2023, T. Fridman obtain a loan from PFN in the amount of \$2,850,000; on March 21, 2024, Plaintiffs were sent a notice of servicing transfer from PFN indicating that beginning May 01, 2024, all payments were to be made and handled by Select Portfolio Servicing, Inc. ("SPS"); the April payment was made to PFN; on October 18, 2024, litigation counsel for PFN gave written notice of default and acceleration of the Loan to Tomer. The events culminated in the sale of the Property on November 18, 2025 as PFN violated Civil Code section 2924f.

On

January 14, 2026, Plaintiffs filed a Notice of Related Case, asserting that this action was related to 25VECV07298, an unlawful detainer ("UD") case in the Los Angeles County Superior Court Van Nuys Courthouse East.

On

February 02, 2026, Plaintiffs filed their First Amended Complaint ("FAC") against the same parties with the same causes of action. The amendment appears to clarify allegations and includes new exhibits.

On

February 17, 2026, Plaintiffs filed a Motion to Consolidate Cases and Stay UD Case pending trial of this matter. That motion was denied.

On

March 12, 2026, TD filed a declaration of non-monetary status.

On May

04, 2026, PFN and Shenkman ("Moving Defendants") filed this Demurrer. On July 17, 2026, Plaintiffs filed their Opposition. On July 23, 2026, Moving Defendants filed their Reply.

LEGAL

STANDARD

A. Demurrer

A demurrer is an objection to a pleading, the grounds for which are apparent from either the face of the complaint or a matter of which the court may take judicial notice. (Code Civ. Proc. § 430.30(a); see also *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) "To survive a demurrer, the complaint need only allege facts sufficient to state a cause of action; each evidentiary fact that might eventually form part of the plaintiff's proof need not be alleged." (C.A. v. William S. Hart Union High School Dist. (2012) 53 Cal.4th 861, 872.) "For the purpose of testing the sufficiency of the cause of action, the demurrer admits the truth of all material facts properly pleaded." (Aubry v. Tri-City Hospital Dist. (1992) 2 Cal.4th 962, 966-967.) "A demurrer 'does not admit contentions, deductions or conclusions of fact or law.'" (Daar v. Yellow Cab Co. (1967) 67 Cal.2d 695, 713.)

B. Leave to Amend

"Where the defect raised by a motion to strike or by demurrer is reasonably capable of cure, leave to amend is routinely and liberally granted to give the plaintiff a chance to cure the defect in question." (*CLD Construction, Inc. v. City of San Ramon* (2004) 120 Cal.App.4th 1141, 1146.) "A trial court does not abuse its discretion when it sustains a demurrer without leave to amend if either (a) the facts and the nature of the claims are clear and no liability exists, or (b) it is probable from the nature of the defects and previous unsuccessful attempts to plead that the plaintiff cannot state a claim." (*Cantu v. Resolution Trust Corp.* (1992) 4 Cal.App.4th 857, 889.) "The burden is on the complainant to show the Court that a pleading can be amended successfully. (*Goodman v. Kennedy* (1976) 18 Cal.3d 335, 348.)"

REQUEST

FOR JUDICIAL NOTICE

Moving

Defendants request judicial notice of the following documents:

Exhibit

1: First Amended Complaint in Los Angeles Superior Court Case No. 25STCV36105;

Exhibit

2: Certified Quitclaim Deed recorded as instrument number 20250478132;

Exhibit

3: Certified Deed of Trust recorded as instrument number 20230825465;

Exhibit

4: Certified Substitution of Trustee recorded as instrument number

20240873423;

Exhibit

5: Certified Notice of Default and Election to Sell Under Deed of Trust

recorded

as instrument number 20240873424;

Exhibit

6: Certified Notice of Trustee's Sale recorded as instrument number

20250163619;

Exhibit

7: Complaint for Wrongful Foreclosure etc. in Los Angeles Superior Court Case
No. 25VECV01510 without voluminous exhibits thereto;

Exhibit

8: Entered Dismissal with Prejudice in Los Angeles Superior Court Case No. 25VECV01510;

Exhibit

9(a): Certified Notice of Motion and Motion for Relief from the Automatic Stay in
Bankruptcy Court Case No. 1:25-bk-11270 MB and Exhibit 1 thereto (other

exhibits omitted as voluminous, duplicative and not required);

Exhibit

9(b): Certified Order Granting Motion for Relief from the Automatic Stay in Bankruptcy
Court Case No. 1:25-bk-11270 MB;

Exhibit

10: Certified Notice of Trustee's Sale recorded as instrument number 20250163619;

Exhibit

11: Certified Trustee's Deed Upon Sale and Correction recorded as instrument numbers
20250902788 and 20250925794 respectively.

Exhibit

12: OPPOSITION TO PLAINTIFF'S MOTION FOR SUMMARY JUDGMENT OR SUMMARY
ADJUDICATION AND SUPPORTING DECLARATION OF TOMER FRIDMAN, in Los Angeles
Superior Court Case No. 25VECV07298.

Exhibit

13: Court's April 20, 2026 ruling on submitted matters, in Los Angeles Superior
Court

Case

Nos. 25VECV07298 and 25STCV36105.

The

requested documents are either records of this court, official acts of the
legislative, executive, and judicial departments of the United States and of
any state of the United States, and/or facts and propositions that are not
reasonably subject to dispute and are capable of immediate and accurate
determination by resort to sources of reasonably indisputable accuracy. (Fontenot
v. Wells Fargo Bank, N.A. (2011) 198 Cal.App.4th 256, 264-65 [approving
judicial notice of the existence and recordation of real property records under
Evid. Code § 452 (c) and (h); disapproved on other grounds].) Therefore, all requests for judicial notice
are granted.

DISCUSSION

A.

First Cause of Action (Wrongful

Foreclosure)

Moving

Defendants argue that the First Cause of Action is barred by the parties' settlement agreement. Specifically, Moving Defendants provide that Plaintiffs waived the right to challenge PFN's acceleration of the loan in their previous settlement agreement, attached as Exhibit C to the FAC. As the settlement agreement is included in the FAC, Moving Defendants cite to *Holland v. Morse Diesel Intern., Inc.* (2001) 86 Cal.App.4th 1443 ("Holland") for its holding that when facts in exhibits contradict those alleged, the facts in exhibits take precedence. Moving Defendants note that the previous action in which the settlement was reached was dismissed with prejudice. As an alternative ground, Moving Defendants note Tomer's declaration, filed with the Court in the UD action, in which Tomer admits that the Residential Listing Agreement was delivered on September 18, 2025, PFN did not receive it within five business days before the September 23, 2025 sale and the Court's previous statement that the "allegation that PFN violated Civil Code Section 2924f(e) is without merit." (See RJN, Ex. 13 at p. 12)

Plaintiffs

argue that the basis for the FAC is an "entirely new wrongful foreclosure based upon conduct occurring months after execution of the Settlement Agreement." (Opp. 7:14-15.) They reference the allegations in the FAC of conduct by PFN that occurred after the settlement agreement date of April 01, 2025, and argue that section 1668 of the Civil Code prohibits contractual provisions that exempt a party from liability for future violations of law or misconduct. For the same reasons, Plaintiffs contend that the dismissal does not apply to this action. Plaintiffs further argue that their allegations of compliance with Civil Code section 2924 must be deemed true for the purpose of this Demurrer.

In

Reply, Moving Defendants reiterate their arguments, in particular, that Plaintiffs' interpretation of the settlement agreement expressly contradicts the terms of the agreement, pursuant to which the foreclosure sale was postponed until on or after a certain date to give Plaintiffs an opportunity to pay off or refinance the loan. Moving Defendants argue that, on demurrer, the Court has the ability to consider Plaintiffs' own party admissions. Finally, Defendants assert that Plaintiffs' prior action was dismissed with prejudice, and such a

dismissal constitutes a final judgment on the merits.

The

FAC, while incorporating allegations from 2005, premises the First Cause of Action on the following allegation:

The purported default as stated in the

Default Letter and the resulting Notice of Default were released on April 1, 2025. Therefore, no valid Notice of Default existed. Because no valid Notice of Default existed, there was no valid Notice of Sale.

(FAC ¶
37.)

Exhibit

A to the FAC is a copy of a notice of default ("NOD") signed December 9, 2024 and filed on December 10, 2024. The settlement agreement in Exhibit C to the FAC references the NOD in section 2.5. The settlement terms are as follows:

SETTLEMENT TERMS. The Parties agree to the following settlement terms:

4.1 Concurrent with the full execution of this Settlement Agreement, Fridman shall file with the Superior Court in which the Action is pending a dismissal with prejudice of the Complaint in its entirety as against all defendants, including PFN, Suzanne Arancibia, Marc Sherkman and TD Processing.

4.2 Concurrent with the full execution of this Settlement Agreement, PFN and/or TD Processing shall cause the trustee sale that is currently scheduled pursuant to the Notice of Sale to occur on April 10, 2025 to a new date so that the foreclosure sale shall not occur or be conducted prior to May 20, 2025 and Borrower shall have until May 20, 2025 to refinance or payoff the Loan

(FAC,
Exh. C at p. 2).

The

Mutual Release section provides:

Except for the payment obligations

created by the Note, the Deed of Trust and this Settlement Agreement and as otherwise expressly provided herein, on the effective date of this Settlement Agreement, each of the Parties hereto releases, acquits, forever discharges and covenants not to sue each other, and all past and present subsidiary corporations, affiliates, successors, assigns, shareholders, officers, directors, partners, joint venturers, members, managers, agents, principals, attorneys, employees, insurers and heirs from all claims, losses, causes of action, costs, expenses, attorney fees, liabilities (whether statutory, equitable or legal), indemnities, subrogations (contractual or equitable), duties and any and all obligations of every nature, character and description whatsoever at law or in equity, known or unknown, which they ever had, now have, or may have, or arising out of, concerning, pertaining to or connected with any and every matter or thing whatsoever occurred, done, omitted or suffered to be done prior to the effective date hereof, as it relates to the Claims, and/or any claims or defenses which could have been brought in the Action."

(Id., Exh. C pp. 2-3.)

Plaintiffs'

allegations are contradicted by Exhibit C. If facts appearing in an exhibit contradict the allegations in the pleading, the facts in the exhibit control. (Holland, supra, 86 Cal.App.4th 1443, 1447 [superseded by statute on other grounds].) As shown by Exhibit C, the NOD remained valid, and Moving Defendants obligations under the settlement were to postpone the foreclosure sale until on or after May 20, 2025. The FAC alleges that the sale of the Property occurred on November 18, 2025, almost six months after the agreed upon postponement date in the settlement. (FAC ¶ 31.)

The

elements of a claim for wrongful foreclosure are: (1) the defendants caused an illegal, fraudulent, or willfully oppressive sale of the property pursuant to a power of sale in a mortgage or deed of trust; (2) the plaintiff suffered prejudice or harm; and (3) the plaintiff tendered the amount of the secured indebtedness or was excused from tendering. (Chavez v. Indymac Mortgage Services (2013) 219 Cal.App.4th 1052, 1062; Lona v. Citibank, N.A. (2011) 202 Cal.App.4th 89, 104.) As alleged, a defect appears on the face of the pleading as Exhibit C shows that there was a valid sale of the Property

under the NOD.

In their

Opposition to the Demurrer, Plaintiff contend that a claim for wrongful foreclosure is stated in the First Amended Complaint, because, as alleged in paragraph 28, they delivered an executed Residential Purchase Agreement to the trustee in the Deed of Trust, on October 2, 2025, and Defendants thereafter failed to comply with Civil Code section 2924f. This

allegation is contradicted by the declaration Tomer submitted in support of his opposition to the motion for summary judgment in the unlawful detainer matter,

No. 25STCV36105, of which the Court has taken judicial notice (RJN Exh. 12, § 10, Exh. E.) In that declaration, Tomer stated under

penalty of perjury that attached to his declaration as Exhibit E was a “true and correct copy of the receipt from FedEx as payment for delivery of the Residential listing Agreement to the law trustee, together with FedEx confirmation of Delivery of the listing Agreement that [he] obtained from FedEx.com.” With this admission, the

Court determined that PFN had not violated section 2924f(e)(1) of the Civil Code and that Plaintiffs’ allegation to the contrary was “without merit.” (RJN, Exh. 13, p.12.)

In

connection with PFN's motion for reconsideration of the Court's denial of its motion for summary judgment, the Court further determined as a matter of law in Case No. 25STCV36105 the following:

Ultimately, another undisputed fact

precludes Defendants from relying on the listing agreement delivered in September 2025 to argue that PFN was required to delay the sale for 45 days: They had previously delivered a purchase and sale agreement to the trustee for that very purpose. In seeking relief from the automatic stay in Bankruptcy Court, Plaintiff's submitted a declaration by Marc S. Shenkman asserting that “[t]he day before the July 17, 2025 foreclosure sale, on July 16, 2025 at 9:25 p.m.” Defendants’ attorney Lisa Skaist (“Skaist”), “sought to trigger the statutory automatic 45-day foreclosure sale postponement period under Civil Code Section 2924f(e)(3), by sending the unredacted April 14, 2025 purchase agreement and supporting documents to the foreclosure trustee.” (MSJ RJN Ex. 3(a).)

The statute prohibits a second bite of that apple. Section 2924f(e) states that

“[t]he provisions of this paragraph shall not be used to postpone the scheduled sale date more than once.” Accordingly, Defendants could not use section 2924f(e) a second time to postpone the September 26, 2026 foreclosure sale.

In sum, Defendants have presented no facts or evidence that would preclude the Court from finding that PFN acquired title to the Property via foreclosure sale in compliance with Civil Code section 2924. Even if PFN is not a bona fide purchaser of value, this fact does not show that PFN did not properly acquire title at of the Property at the foreclosure and is entitled to immediate possession of the Property.

(Ruling filed May 29, 2026, in Case No. 25STCV36105.)

The orders in Case No. 25STCV36105 stem from a ruling on a Motion for Summary Judgment. This matter cannot be relitigated due to the principles of res judicata. (See *Henry v. Clifford* (1995) 32 Cal.App.4th 315, 321 [“If the issue is alleged in the complaint and resolved by summary judgment, it may not be relitigated in a subsequent action. ‘The reason for this is manifest. A party cannot by negligence or design withhold issues and litigate them in consecutive actions. Hence the rule is that the prior judgment is res judicata on matters which were raised or could have been raised, on matters litigated or litigable.’ (*Sutphin v. Speik* (1940) 15 Cal. 2d 195, 202 [99 P.2d 652].)”).)

For the reasons explained above, the demurrer to the First Cause of Action is sustained without leave to amend. An amendment does not appear to be able to rectify the defect as Plaintiffs’ basis for the First Cause of Action is contradicted by Exhibit C to the FAC and precluded by Plaintiffs’ dismissal of its prior wrongful disclosure action with prejudice and prior rulings of the Court in case no. 25STCV36105.

Accordingly, the Demurrer to the First Cause of Action is sustained without leave to amend.

B.

Second Cause of Action (Breach of Contract)

Moving Defendants argue that Plaintiffs' allegations for breach of contract are contradicted by the settlement agreement attached as Exhibit C to the FAC. Further, Moving Defendants contend that Plaintiffs cannot avoid the plain language of the contract they expressly agreed to and highlight the language of the settlement agreement.

Plaintiffs argue that Moving Defendants have premised their argument on the settlement agreement's release, PFN breached Civil Code section 2924f, and alleged conduct on which the claim is based occurred after April 1, 2025.

In Reply, Moving Defendants assert that the settlement agreement did not release Plaintiffs from their obligations to make payments under the loan, and there are no allegations that Plaintiffs made any payments on the loan or were otherwise excused from doing so.

As alleged, the Second Cause of Action stems from "[p]roceeding with foreclosure sale after releasing the claims of default used to issue the Notice of Default[.]" (FAC at ¶ 45.) The Court has discussed this above. Plaintiffs' obligations under the NOD were not released.

"To prevail on a cause of action for breach of contract, the plaintiff must prove (1) the contract, (2) the plaintiff's performance of the contract or excuse for nonperformance, (3) the defendant's breach, and (4) the resulting damage to the plaintiff." (Richman v. Hartley (2014) 224 Cal.App.4th 1182, 1186.)

As alleged, there has been no breach of contract as the settlement agreement did not release Plaintiffs from their obligations and the sale of the Property occurred after the agreed upon postponement date.

An amendment does not appear to be able to rectify the defect as Plaintiffs' basis for the Second Cause of Action is, again, contradicted by Exhibit C to the FAC.

The Demurrer to the Second Cause of Action is sustained without leave to amend.

C.

Third Cause of Action (Intentional
Interference with Contract)

Moving Defendants contend that the alleged acts of interference are premised on Plaintiffs' belief that they were released from the NOD's obligations. Moving Defendants argue that they were justified in proceeding according to the terms of the parties' settlement agreement.

Plaintiffs argue that the Third Cause of Action is based on PFN's interference with Plaintiffs' October 01, 2025 Residential Purchase Agreement and, as such, the settlement agreement has no application.

Moving Defendants present that Plaintiffs have failed to address their arguments. Moving Defendants reiterate that their alleged acts of interference are not actionable.

As alleged, Plaintiffs entered into a valid contract with Murtaza Dar on October 1, 2025; Moving Defendants were aware of the contract; and Moving Defendants (1) failed and refused to postpone the trustee sale as they were required by California Civil Code 2924f, (2) illegally called into question the validity of the contract as a justification for refusing to postpone the trustee sale, (3) illegally imposed conditions upon Plaintiffs as a condition of postponing the trustee sale, and (4) demanded that the Buyer make its earnest money deposit as a condition of postponing the trustee sale. (FAC at ¶¶ 48-50.)

As presented, it appears that Moving Defendants satisfied Civil Code § 2924 before the settlement agreement. (See FAC at ¶¶ 16-17, Exhs. A-B.) However, more importantly, Plaintiffs' allegations under Civil Code section 2924f disregard the parties' settlement agreement. There are simply no allegations or arguments presented by Plaintiffs that show the interplay between Civil Code section 2924f and the settlement agreement. Moving Defendants rely on *Cal-Medicon v. Los Angeles County Medical Assn.* (1971) 20 Cal.App.3d 148, 152, in which the Court states:

One may not intentionally interfere with the contractual

relations of another without justification. (Rest., Torts, § 766; Imperial Ice Co. v. Rossier, 18 Cal.2d 33 [112 P.2d 631].) Whether an interference is justified "depends on a balancing of the importance, social and private, of the objective advanced by the interference against the importance of the interest interfered with, considering all circumstances, among which the methods and means used and the relation of the parties are important." (Masoni v. Board of Trade of S.F., 119 Cal.App.2d 738, 742 [260 P.2d 205]; Rest., Torts, §§ 767-774.) CA(3) (3) Although justification is usually a matter of affirmative defense, the complaint may reveal justification on its face. (Greenberg v. Hollywood Turf Club, 7 Cal.App.3d 968 [86 Cal.Rptr. 885].)

As pled, it appears that Moving Defendants' justification was the settlement agreement. Further, as stated above, there is no allegations related to how the settlement agreement plays into Civ. Code § 2924f and, by the facts alleged in Exh. C, Moving Defendants had waited past the agreed upon date of sale within the settlement.

Moving Defendants' Request for Judicial Notice provides insight into these matters. Specifically, Exhibit 13 shows that the Court has conducted an analysis on this matter which reads, in relevant part:

Third, by entering into the Settlement Agreement, the Fridmans waived the right to challenge PFN's acceleration of the loan. This includes any allegation that PFN engaged in fraud by wrongfully accelerating the loan. Pursuant to the Settlement Agreement, PFN was entitled to proceed with the foreclosure sale after May 20, 2025. Once PFN purchased the Property at a duly noticed foreclose sale, it became a bona fide purchaser for value because it acquired interest in the Property without notice of a competing claim of title. First, Fridmans had expressly agreed in the Settlement Agreement that the sale of the Property could proceed if they were unable to pay the Loan or refinance it. (PFN RJN Ex. 1.) Second, before the foreclosure sale, the Property was transferred by T. Fridman to I. Fridman on the eve of her bankruptcy case, evidencing that I. Fridman could not pay off the loan or refinance it because it was in bankruptcy. (PFN RJN Ex. 1; 3, 9(a); 9(b).) Property was released by the Bankruptcy Court, and PFN purchased the Property (PFN RJN Ex. 6, 9(a), 9(b), 10.) "Thus, 'a bona fide purchaser for value who acquires his interest in real property without notice of another's asserted rights in the property takes the property free of such unknown rights. [Citations.]' " (Melendrez, supra, 127 Cal.App.4th at p. 1251.)

As PFN is a bona fide purchaser for value, the Fridmans fail to show that they are entitled to immediate possession of the Property such that the UD action should be stayed while the irregularities in the foreclosure sale process are litigated in a separate action. The Fridmans fail to show that the second point they made at the hearing, related to Civil Code Section 2924(f), has merit.

(RJN Exh. 13 at p. 11.)

This order stems from a ruling on a Motion for Summary Judgment. This matter cannot be relitigated due to the principles of res judicata. (See *Henry v. Clifford* (1995) 32 Cal.App.4th 315, 321 [“If the issue is alleged in the complaint and resolved by summary judgment, it may not be relitigated in a subsequent action. ‘The reason for this is manifest. A party cannot by negligence or design withhold issues and litigate them in consecutive actions. Hence the rule is that the prior judgment is res judicata on matters which were raised or could have been raised, on matters litigated or litigable.’ (*Sutphin v. Speik* (1940) 15 Cal. 2d 195, 202 [99 P.2d 652].)”].)

Finally, as explained above, Plaintiffs’ prior tender of a purported purchase and sale agreement precluded Plaintiffs from seeking a further postponement of the sale by the tender of another purported purchase and sale agreement.

Accordingly, the Demurrer to the Third Cause of Action is sustained without leave to amend.

D.

Fourth Cause of Action (Negligence Per Se)

Moving Defendants argue that Negligence Per Se is not a cause of action and cannot stand alone and the allegation that PFN violated Civil Code Section 2924f(e) is without merit, citing to Exhibit 12 and 13 in the Request for Judicial Notice.

Plaintiffs argue that Negligence Per Se is a claim for negligence and, therefore, a negligence claim has been

pled in the Fourth Cause of Action.

Request for Judicial Notice

Exhibit 13 at page 12 shows that the Court held “. . . the allegation that PFN violated Civil Code Section 2924f(e) is without merit.” The Court provided its analysis in the Ruling:

In opposition to PFN's motion for summary judgment, the T. Fridman again purports to attach “a true and correct copy of the receipt from FedEx as payment for delivery of the Residential Listing Agreement to the slaw trustee, together with FedEx confirmation of deliver of the Listing Agreement that I obtained from FedEx.com.” (T. Fridman Decl., § 10, Ex. E.) Exhibit E bears the Tracking ID of “393320295641” and listed the delivery date as “Thursday, 9/18/25 10:21

AM”. (d.) Assuming that the correct delivery date of Residential Listing Agreement is September 18, 2025, PFN did not receive it within 5 business days before the September 23, 2025 sale. Thus, PFN had no obligation to postpone the foreclosure sale.

Consequently, the allegation that PFN violated Civil Code Section 2924f(e) is without merit.

(Exh. 13 at p.12.)

Exhibit E, which is included in Exhibit 12, is Tomer's FedEx Confirmation of Delivery.

Whether Negligence Per Se is a cause of action is of no consequence as the Court has already issued a ruling on the matter in a motion for summary judgment. (See analysis in Third Cause of Action). Plaintiffs are barred from relitigating the matter.

Accordingly, the Demurrer to the Fourth Cause of Action is sustained without leave to amend.

E.

Fifth Cause of Action (Negligence)

The Fifth Cause of Action is premised

on the allegations concerning the proceeding of the foreclosure. (See FAC at ¶ 62.)

Moving Defendants incorporate their previous arguments regarding the settlement agreement.

Plaintiffs contend that Moving Defendants take no issue with the allegations in this cause of action. (See Opp. 14:10.) Plaintiffs repeat their statutory requirements argument.

In Reply, Moving Defendants argue that Plaintiffs fail to demonstrate any facts that would support a duty by Defendants separate and apart from their mutual contractual obligations under the settlement agreement, the terms of which expressly permitted Moving Defendants to proceed with the foreclosure sale in the event Plaintiffs failed to comply with their payment obligations.

“ ‘The elements of a cause of action for negligence are well established. They are “(a) a legal duty to use due care; (b) a breach of such legal duty; [and] (c) the breach as the proximate or legal cause of the resulting injury.” ’ ” (Ladd v. County of San Mateo (1996) 12 Cal.4th 913, 917.)

As described above, the settlement agreement did not release Plaintiffs of their obligation under the note and deed of trust, and Moving Defendants fulfilled their obligation to withhold selling the Property May 20, 2025. As pled, there has been no breach of duty.

Conclusion

Defendants
PFN Lending Group, Inc. and Mark Shenkman’s Demurrer is sustained without leave to amend.

Date: 08/03/2026 _____

William E. Weinberger

Judge, Los Angeles Superior Court

[1]

Plaintiffs Tomer Fridman and Isidora Fridman share the same surname. The Court addresses each individually by their respective first name for the purpose of clarity.